BNP PARIBAS

EQUITIES

SOFTWARE

MICROSOFT

OUTPERFORM

PRICE* USD418.6 ▪ TARGET PRICE **USD555** (UPSIDE 33%)

Delivering on multiple fronts as Copilot lifts off

26 MAY 2026

Securities Research Report

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Ahead of our Microsoft NYC NDR on June 10, we revisit our Microsoft investment thesis

We believe Microsoft is delivering on what we outlined as crucial in our April presentation (see Stuck in the mud. What can kickstart the stock again?). Following investor concerns around modest Copilot traction while AI-natives (namely Anthropic) impressed with rapid ARR scaling and Claude's functional capabilities, Copilot end-users are finally beginning to receive access to capabilities that were already existing (i.e. Agent Mode) but were constrained by gradual GA rollouts and slow enterprise IT deployment cycles. Microsoft should now be able to flex its distribution advantage across its M365 installed base. We also see the OpenAI relationship as increasingly de-risked following the recent update of the agreement (see link), removing AGI risk, along with OpenAI's successful $122bn of funding, allowing OpenAI to meet its $250bn+ Azure commitments, and OpenAI's success in its recent court case, potentially opening the door to a near-term IPO (see FT).

Copilot usage and user feedback trending in the right direction

We note that Copilot user sentiment appears to be meaningfully improving and usage trends across Excel, PowerPoint, and Word are also inflecting higher with Microsoft recently highlighting materially improved month-over-month engagement and retention metrics. Combined with Copilot seats potentially exiting FY26 at 25m+ (up 10m+ over two quarters), we believe momentum around Copilot is improving, and early preview features such as Copilot Cowork are also receiving praise. Microsoft appears to be delivering on its own 'code red' in its core business, just as Alphabet did with Gemini.

Fairwater ramp supports sustained 40%+ Azure growth, driving upside to consensus

On Azure, we continue to model 40%+ growth over the next several quarters (see our January deep dive: The OpenAI Effect, where we outlined our 40%+ Azure growth thesis) and believe capacity additions increasingly support Azure's growth through CY26. Specifically, Fairwater Wisconsin is now officially online (as of April 16) and Fairwater Atlanta appears to be nearing full scale deployment, which should support an accelerating Azure revenue trajectory, in our view.

Microsoft (+)	MSFT US
*Closing Price (22 May 2026)	USD418.6
Volume (USDm / EURm)	13,441.7 / 11,589.7
Market cap (USDbn / EURbn)	3,104.5 / 2,676.7
Free float (USDbn / EURbn)	3,102.0 / 2,674.6
EV (USDbn / EURbn)	3,030.5 / 2,613.0
Country / Sub Sector	USA / Software

Performance(1)	1w	1m	3m	12m
Absolute(%)	(1)	(3)	6	(7)
Rel. Software(%)	(1)	(4)	(5)	2
Rel. MSCI USA(%)	NC	NC	NC	NC

Financials	06/26e	06/27e	06/28e	06/29e
EPS, Adjusted (USD)	17.2	20.0	23.9	28.9
EPS, Company (USD)	17.43	19.74	23.70	28.78
EPS - Bloomberg (USD)	17.0	19.4	22.8	27.0
Net dividend (USD)	3.7	4.1	4.7	5.3
Sales (USDm)	330,172	389,034	467,305	559,874
EBITA, Adj. (USDm)	157,969	183,092	217,828	260,766
Net profit, Adj.(USDm)	128,336	148,118	175,889	211,562
ROCE (%)	28.5	26.2	25.9	25.9
Net Debt/EBITDA, Adj. (x)	-	-	-	-

Valuation metrics	06/26e	06/27e	06/28e	06/29e
P/E (x)	24.3	20.9	17.5	14.5
Net yield (%)	0.9	1.0	1.1	1.3
FCF yield (%)	2.1	0.7	2.1	3.3
EV/Sales (x)	9.2	7.8	6.4	5.2
EV/EBITDA (x)	15.8	12.8	9.9	7.8
EV/EBITA (x)	19.2	16.5	13.7	11.2
EV/CE (x)	6.8	5.3	4.4	3.6

All valuation metrics based on adjusted figures

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus)   (1) In listing currency, with dividend reinvested

See page 12 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies.

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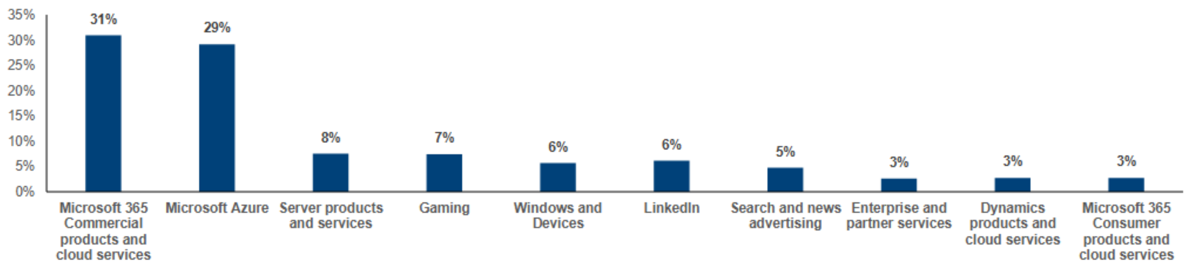
Revisiting our Microsoft Investment Thesis

Below, we focus on Microsoft 365 Commercial Cloud and Azure, Microsoft's two most important businesses from a growth and operating profit contribution standpoint.

Figure 1: Microsoft 365 Commercial Cloud and Azure comprise 60% of revenues, with Azure being the company's main growth driver

Microsoft FY'26 revenue contribution breakdown



Source: BNP Paribas Equity Research estimates

Improving Copilot sentiment serves as a key factor behind Microsoft's potential re-rating

In our view, **Microsoft's ability to get Copilot 'right' continues to be crucial for investors to regain confidence in the growth outlook for the high margin Microsoft 365 Commercial Cloud business**. We believe an inflection in Copilot sentiment could serve as a key factor in pushing back against the broader AI disruption narrative weighing on the stock. We note a major investor concern over recent months has been the perception that Microsoft is falling behind AI native competitors (notably, Anthropic's Claude offering). However, **our sense from public commentary across social media and user forums is that feedback around the product appears to be shifting with user responses now ranging from cautiously optimistic to outright praise for several of the product's newer capabilities.**

Importantly, we would argue that much of the underlying product capability has existed for some time (such as Agent Mode within the M365 suite), but many end users simply had not experienced these improvements until recently as newer functionalities gradually reached GA and internal IT department deployed updates across the enterprise user base (thus creating a natural lag effect between new functionalities and observed user sentiment).

However, with newer features such as agent mode increasingly becoming the default experience within the M365 application stack, many users appear to be encountering these capabilities for the first time, which we believe is contributing to the more positive recent user feedback. **We have also observed that several Frontier program users (i.e. early access users) have been notably effusive in their praise for Copilot Cowork**, suggesting Microsoft may finally be delivering an experience that resembles a true AI assistant for productivity.

While we concede Microsoft does not necessarily have the best standalone models or product today, **the Copilot product increasingly appears to be reaching a 'good enough' threshold where the company can begin leveraging its core distribution advantage.** Below, we outline select examples of recent Copilot user feedback.

Figure 2: Copilot user feedback appears more positive over recent months


Tim Sweeney
@TimSweeneyEpic
X.com
Mayuary, the month Excel Copilot got good!
6:39 PM · 5/5/26 · 34K Views
3
4
46
Dallin Drescher
@SellersCounsel
X.com
Guys using coPilot in word is lowkey really good
4:29 PM · 5/20/26 · 2.9K Views
5
1
12
1
Relevant
Josh Lowenthal @joshualowe... · 14h
Now that claude plugs into Word, couldn't you use that?
1
1
142
Dallin Drescher @SellersCoun... · 14h
Yes, but firm hasn't approved it. BigLaw problems
1
1
127

Source: X.com

Copilot Cowork feedback Frontier program users

'Been using it for two weeks. ***It is a game changer for me at least****…Copilot Cowork IS NOT Claude Cowork. It does not behave like a multi agent orchestration agent. It is more of Copilot that can directly interface with M365 services and files. It can organize SPO (SharePoint Online) Sites for example. It can be used to clean up junk in Outlook or OD (OneDrive). IT can read all sources and make rational decisions.* ***It is so close to an AI assistant.****'*

*'****It is amazing. Scheduled tasks, content generation, inbox and Teams monitoring / notifications, etc****. Had it interview me with 100 questions and now I have a guide to build 14 agents / tasks to get me away from my desk.'*

*'****Cowork is the most valuable tool in the Copilot suite.*** *Some rough edges which are understandable in Frontier but overwhelming excitement when we rolled it out, especially from folks who hadn't used Claude Cowork. I hope Microsoft doubles down on it!'*

*'****Been using it for a week or so and loving it****. Still needs to catch up to Claude Cowork in many ways, but the fundamental bones are there.'*

Source: Microsoft Forums

Moreover, **improving user sentiment may also be translating into tangible engagement and retention metrics.** A recent Microsoft blog post showed meaningful increases across usage frequency, new user retention, and satisfaction metrics over a one-month period. While still early, we believe these datapoints are notable as they suggest the improving end-user feedback may be moving beyond anecdotal user commentary and are beginning to manifest in measurable product usage trends.

Figure 3: Microsoft's late April blog post outlines improving engagement and retention trends across Word, Excel and PowerPoint as Copilot's capabilities continue to improve

Over the last month, our data already shows increased engagement, retention, and satisfaction:

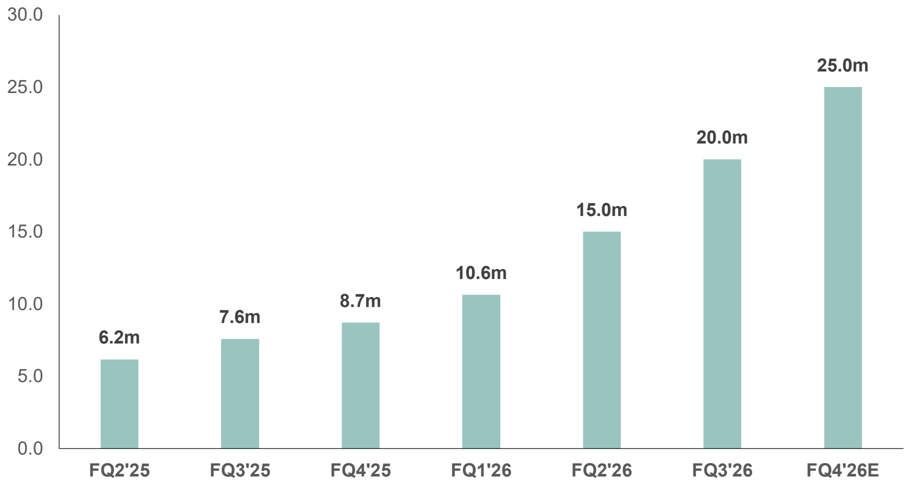
Application	Change in Engagement (tries/user per week)	Change in new user retention (% increase)	Change in Satisfaction (thumbs up rate)
Word	+52%	+11%	+21%
Excel	+67%	+50%	+65%
PowerPoint	+11%	+36%	+25%

Source: Microsoft 365 Blog: Copilot's agentic capabilities in Word, Excel, and PowerPoint are generally available

We note Copilot seats appear to also be inflecting, with Microsoft indicating Copilot seats should exit FY26 at 25m+ (vs. 20m in FQ3'26 and 15m in FQ2'26), suggesting accelerating enterprise rollouts. At the same time, management's emphasis on a hybrid seats + consumption model is notable as it should allow revenue to scale more in line with actual usage, reducing reliance on renewal cycles to drive a more pronounced M365 Commercial Cloud revenue re-acceleration.

Figure 4: Microsoft expects to exit FY26 with 25m+ Copilot seats

Microsoft Copilot seat progression – estimated (in m)



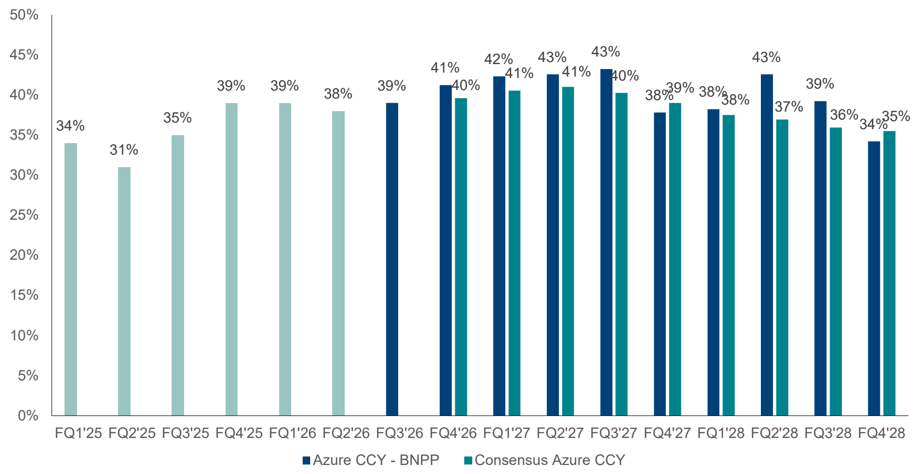
Source: Company reports, BNP Paribas Equity Research

Azure Poised to Sustain 40%+ Growth

We continue to believe Microsoft Azure could sustain 40%+ growth over the next several quarters as AI infrastructure demand remains supply constrained and monetization trends continue to improve. We note GPU rental pricing is still tracking higher, which supports both longer useful lives for GPU hardware and higher pricing on renewal contracts, even for older silicon. At the same time, deployments of newer generation systems (i.e. GB300s and eventually Vera Rubin) should also carry meaningfully higher revenue per GW versus prior generations given the improved performance characteristics (Crusoe estimates $15bn per GW for Vera Rubin), providing an additional tailwind for Azure top-line growth as Microsoft fits its newer clusters with latest generation hardware.

Figure 5: We estimate Microsoft Azure growth of 40%+ through FQ3'27, driven by ramping capacity, despite the company's 1P capacity allocation

BNPP vs. Consensus – Azure CCY growth



Source: Company Reports, BNP Paribas Equity Research estimates, Bloomberg Consensus

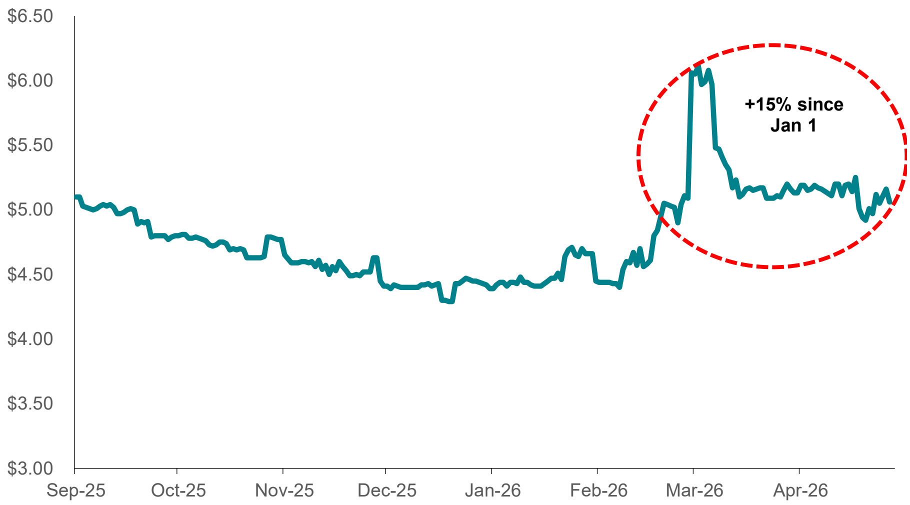
Figure 6: GPU rental pricing continues to climb higher across older generation NVIDIA hardware

NVIDIA H100 hourly GPU rental pricing | NVIDIA A100 hourly GPU rental pricing

Source: Silicon Data, BNP Paribas Equity Research

Figure 7: B200 hourly rental pricing has also increased, although pricing is highly volatile and sensitive to incremental supply

B200 hourly GPU rental pricing



Source: Silicon Data, BNP Paribas Equity Research

Meanwhile, Microsoft's Fairwater campuses also appear to be ramping on schedule. We note that CEO Satya Nadella confirmed on April 16 that Fairwater Wisconsin was now 'live,' likely implying up to 500 MW is now operational. Similarly, Epoch AI satellite imagery of Fairwater Atlanta indicates all buildings appear to be completed and installed with the necessary mechanical equipment, suggesting the campus could be fully ramped in FQ4'26.

Figure 8: As of mid-Feb 2026, satellite imagery from Epoch AI for Fairwater Atlanta indicates Building 4's roof has been completed, and all mechanical equipment has been installed. Assuming a few more months are required to bring the building online, it could imply Fairwater Atlanta is fully ramped in FQ4'26

Epoch AI Fairwater Atlanta Satellite Imagery

Source: Epoch AI

Figure 9: On April 16, Satya Nadella announced Fairwater Wisconsin was 'live', suggesting Building 1 (500 MW+) is operational

Satya Nadella
@satyanadella

Our Fairwater datacenter in Wisconsin is going live, ahead of schedule.

As the world's most powerful AI datacenter, it will bring together hundreds of thousands of GB200s into a single seamless cluster.

Congrats to all the teams who made this possible!

> **Satya Nadella** @satyanadella · Sep 18, 2025
> If intelligence is the log of compute… it starts with a lot of compute! And that's why we're scaling our GPU fleet faster than anyone else.
>
> Just last year, we added over 2 gigawatts of new capacity – roughly the output of 2 nuclear power plants....

9:18 AM · Apr 16, 2026 · **668K** Views

Source: Satya Nadella's X post

Valuation

Figure 10: We value Microsoft on a SOTP approach, applying a 25x FY28 NTM P/E multiple on the core business and incorporating the value of its stake in OpenAI

Microsoft Valuation

Share price	419	
Target price	555	**Microsoft Valuation Overview**
Up/(down)side	32%	

		FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e
Revenue - Group	USDm	168,088	198,270	211,915	245,122	281,724	330,172	389,034	467,305
Growth y.y. (ccy)	%	-	-	-	15.3%	15.2%	15.6%	17.8%	20.1%
EBIT - GAAP	USDm	69,916	83,383	88,523	109,433	128,528	154,124	180,801	216,203
Margin	%	41.6%	42.1%	41.8%	44.6%	45.6%	46.7%	46.5%	46.3%
EBITA - BNPP adj.	USDm	70,926	84,876	91,794	113,230	133,257	157,969	183,092	217,828
Margin	%	42.2%	42.8%	43.3%	46.2%	47.3%	47.8%	47.1%	46.6%
EPS - GAAP - dil.	USD p/sh	8.06	9.64	9.68	11.82	13.64	17.43	19.74	23.70
EPS - ex-OpenAI dil.	**USD p/sh**	**8.06**	**9.64**	**9.68**	**11.82**	**14.10**	**16.83**	**19.74**	**23.70**
EPS - BNPP adj. - dil.	USD p/sh	8.17	9.31	10.02	12.25	14.58	17.22	19.99	23.88
FCF - Co.	USDm	56,118	65,149	59,475	74,071	71,611	64,604	21,513	64,865
FCF - BNPP	USDm	56,118	65,149	59,475	74,071	71,611	64,604	21,513	64,865
# shares	m	7,608	7,541	7,472	7,459	7,465	7,452	7,411	7,366
Market capitalisation (accounts currency)	USDm	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,148,169	3,130,983	3,110,493
Adjusted net debt (restated cash)	USDm	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(73,989)	(66,733)	(85,633)
Adjusted lease liability	USDm	-	-	-	-	-	-	-	-
Other liabilities and commitments	USDm	-	-	-	-	-	-	-	-
Revalued minority interests	USDm	-	-	-	-	-	-	-	-
(Assoc. + revalued investments)	USDm	-	-	-	-	-	-	-	-
Enterprise Value (EV)	USDm	1,645,911	2,171,595	1,931,332	2,786,340	3,100,557	3,074,179	3,064,250	3,024,859
Implied multiples at current share price									
EV/Sales	x	9.8x	11.0x	9.1x	11.4x	11.0x	9.3x	7.9x	6.5x
EV/EBITA - BNPP adj.	x	23.2x	25.6x	21.0x	24.6x	23.3x	19.5x	16.7x	13.9x
EV/EBIT - GAAP	x	24x	26x	22x	25x	24x	20x	17x	14x
P/E - BNPP adj.	x	51x	45x	42x	34x	29x	24x	21x	18x
P/E - GAAP	x	52x	43x	43x	35x	31x	24x	21x	18x
FCF yield - Co.	%	3.3%	2.9%	3.0%	2.6%	2.3%	2.1%	0.7%	2.1%
FCF yield - BNPP	%	3.3%	2.9%	3.0%	2.6%	2.3%	2.1%	0.7%	2.1%
EV/FCF	x	29x	33x	32x	38x	43x	48x	142x	47x
Implied multiples at undiscounted target price									
EV/Sales	x	26.4x	22.3x	20.6x	17.9x	15.5x	13.1x	11.1x	9.2x
EV/EBITA - BNPP adj.	x	63x	52x	48x	39x	33x	27x	24x	20x
EV/EBIT - GAAP	x	63x	53x	49x	40x	34x	28x	24x	20x
P/E - BNPP adj.	x	73x	64x	59x	48x	41x	34x	30x	25x
P/E - GAAP	x	74x	61x	61x	50x	43x	34x	30x	25x
FCF yield - Co.	%	1.2%	1.5%	1.3%	1.7%	1.6%	1.5%	0.5%	1.5%
FCF yield - BNPP	%	1.2%	1.5%	1.3%	1.7%	1.6%	1.5%	0.5%	1.5%
EV/FCF	x	79x	68x	73x	59x	61x	67x	201x	66x

Reference multiple: P/E (BNPP)

Reference multiple: CY2027 P/E
GAAP Price to Earnings Ratio

Target Multiple	**Market Cap**
25.0x	$4,364,663
No. Shares	7,366
Implied TP	**$593**

OpenAI Valuation
Microsoft's stake in OpenAI
OpenAI contribution to Microsoft

Valuation	$852,000
% Stake	23%
Implied TP	**$26**

Discount Factor = WACC	%	10%
Price per share (undiscounted) - P/E based	USD	$593
Price per share (discounted) - P/E based	USD	$529
(+) OpenAI Stake	USD	$26
Target Price (discounted)	USD	**$555**
Discount period	Years	1.2

Source: BNP Paribas Equity Research estimates. Prices as close of 22 May 2026.

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD555)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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We, **Keeler Patton, Stefan Slowinski, Daniel Wang**, hereby certify that all of the views expressed in this report accurately reflect our personal view(s) about the company or companies and securities discussed in this report. No part of our compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

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Stefan Slowinski	BNP Paribas London Branch

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/	

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Cadence Design Systems	CDNS US	3; 4; 8
Cloudflare Inc	NET US	/
Crowdstrike Holdings Inc	CRWD US	/
Datadog Inc	DDOG US	/
Dynatrace Inc	DT US	/
HubSpot	HUBS US	/
IBM	IBM US	2; 3; 4; 7; 8; 9; 10
Intuit	INTU US	/
Microsoft	MSFT US	2; 3; 4; 6; 7; 8; 9; 10
Navan	NAVN US	2; 3; 4; 7; 8- BNP Paribas Sec Corp serves as Joint bookrunner for the IPO of Navan Inc; 9; 10
Nvidia	NVDA US	6
Oracle Corporation	ORCL US	2; 3; 4; 7; 8- BNP Paribas Securities Corp. serves as Passive Bookrunner on a SEC Registered convertible bond offering out of Oracle Corporation | NYSE:ORCL that announced to the market on February 2, 2026. BNPP Securities Corp is acting as Sales Agent for an "At-the-Market" of Common Shares of Oracle Corp (NYSE: ORCL); 9; 10
Palo Alto Networks	PANW US	2; 3; 4; 7; 8; 9
Salesforce	CRM US	2; 3; 4; 7; 8; 9; 10
Samsara Inc	IOT US	/
ServiceNow Inc	NOW US	2; 3; 4; 8
Snowflake	SNOW US	7; 9; 10
Synopsys, Inc.	SNPS US	/
Veeva Systems	VEEV US	/
Vertex Inc	VERX US	/
Workday Inc	WDAY US	/
Workiva	WK US	/
Zoom	ZM US	/
Zscaler	ZS US	/

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Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.

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As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 01 March 2026 BNP Paribas covered 1275 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	645	51	166	26
Neutral (Hold)	428	34	101	24
Underperform (Sell)	202	16	42	21

* Please note that the percentages might not add up to 100% because of rounding.

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Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

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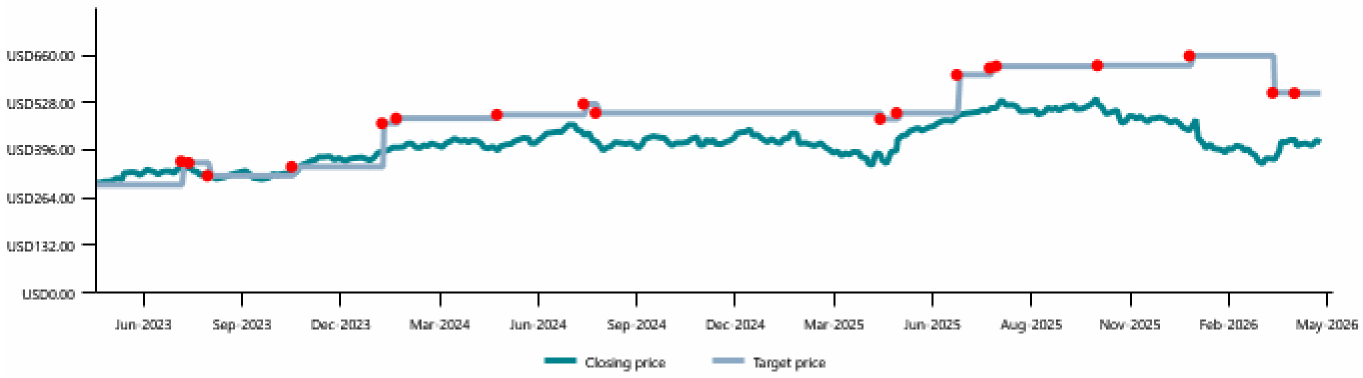
Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price **(closing price as of 22/05/2026)**



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
30 Apr. 2026	22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026	14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026	21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025	05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025	11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025	05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025	21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025	06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025	05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024	11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024	06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024	05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024	14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024	05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023	17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023	06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023	08:06	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023	06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

- *The closing price is based on the market close price on the last business close date.*
- *Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.*
- *All ratings and target prices are valid for 12 months.*

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MICROSOFT (Outperform)

Price at 22 May 26 / Target Price

Software - USA

USD418.6 / USD555 +33%

Company description

Microsoft Corporation is a technology company. It develops, licenses, and supports software products, services and devices. Products include operating systems; productivity applications; server applications; business solution applications; desktop and server management tools; software development tools; video games, and training. It also designs, manufactures, and sells devices, including PCs, tablets, gaming and entertainment consoles that integrate with its cloud-based offerings. It offers an array of services, including cloud-based solutions that provide customers with software, services, platforms, and content, and it provides solution support and consulting services.

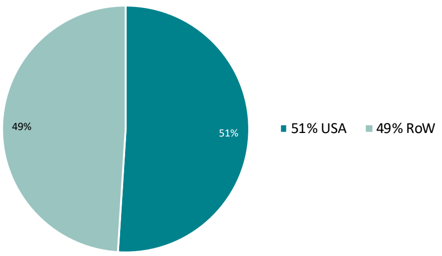
Management

Satya Nadella, CEO
Amy Hood, CFO
Scott Guthrie, Executive Vice President

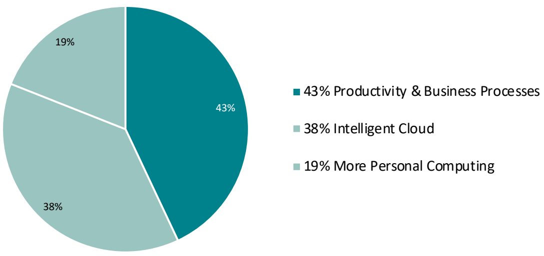
Ownership structure

Vanguard	8.1%
BlackRock	4.5%
Capital Group	4.0%
State Street Global Advisors	4.0%
Fidelity Management & Research	2.9%
T.Rowe Price	2.4%
Geode Capital Management	1.6%
Norges Bank IM	1.0%
Other Shareholders	71.5%

Revenue by geography - FY24/25



Revenue by reported segment - FY24/25



Peer group YTD performance

Stock	Price (22 May 26)		YTD performance in EUR (%) Abs.	Rel. Sector
Datadog (+)	USD	222.3	65.5	87
Crowdstrike (=)	USD	663.5	43.3	62
Palo Alto (+)	USD	260.6	43.3	62
Zoom (-)	USD	105.6	24.0	40
Cadence Design (+)	USD	373.6	21.0	37
Navan (+)	USD	19.9	17.9	33
Synopsys, Inc. (-)	USD	524.7	13.1	28
Cloudflare (-)	USD	216.2	11.0	25
Oracle (+)	USD	192.1	0.2	13
Dynatrace (=)	USD	41.2	(3.7)	9
Samsara (+)	USD	31.2	(11.0)	0.5
Microsoft (+)	**USD**	**418.6**	**(12.1)**	(1)
IBM (-)	USD	253.8	(12.4)	(1)
Zscaler (+)	USD	182.4	(17.9)	(7)
Snowflake (+)	USD	172.2	(20.5)	(10)
Veeva Systems (+)	USD	160.2	(27.3)	(18)
Adobe (=)	USD	244.8	(29.2)	(20)
Salesforce (+)	USD	180.1	(31.0)	(22)
Vertex (+)	USD	13.4	(31.8)	(23)
ServiceNow (+)	USD	102.1	(32.5)	(24)
Workday (+)	USD	128.1	(39.6)	(32)
Workiva (+)	USD	50.3	(40.9)	(33)
Atlassian (+)	USD	85.4	(46.7)	(40)
HubSpot (=)	USD	202.0	(49.0)	(42)
Intuit (=)	USD	319.9	(50.9)	(45)

Sector calendar

27 May 26	**Salesforce**: Q1 Earnings 2027 (22:00 CET)
	Snowflake: Q1 Earnings 2027 (22:00 CET)
	Synopsys, Inc.: Q2 Earnings 2026 (22:00 CET)
28 May 26	**Salesforce**: AGM (20:30 CET)
	Autodesk: Q1 Earnings 2027 (22:00 CET)
02 Jun. 26	**TeamViewer**: AGM

Analyst

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Price at 22 May 26 / 12m Target Price

USD418.6 / USD555 +33%

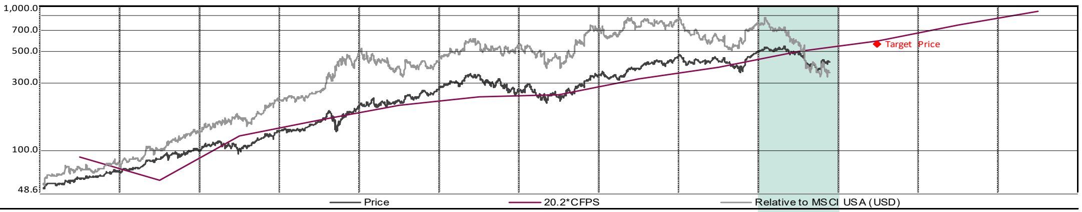
MICROSOFT (Outperform)

Software - USA

Refinitiv / Bloomberg: MSFT.O / MSFT US

Slowinski (+44) 203 430 8549 & Wang +1 646 785 3326

Company Highlights	**USDm / EURm**		
Enterprise value	3,030,494 / 2,612,952		
Market capitalisation	3,104,483 / 2,676,747		
Free float	3,102,000 / 2,674,606		
3m average volume	13,442 / 11,590		
Performance (*)	**1m**	**3m**	**12m**
Absolute	(3%)	6%	(7%)
Rel. Sector	(4%)	(5%)	2%
Rel. MSCI USA	NC	NC	NC
12m Hi/Lo (USD) : 542.1 -23% / 356.8 +17%			
CAGR	**1992/2025**		**2025/2028**
EPS restated	NC		19%
CFPS	NC		25%



	Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
Price (yearly avg from Jun. 16 to Jun. 25)	*50.5*	*62.3*	*85.9*	*112.9*	*157.4*	*227.7*	*297.0*	*268.0*	*378.2*	*424.0*	*418.6*	*418.6*	*418.6*	*418.6*
PER SHARE DATA (USD)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
No of shares year end, basic, (m)	7 925.000	7 746.000	7 715.652	7 655.000	7 580.000	7 527.000	7 474.000	7 434.000	7 433.000	7 432.000	7 416.879	7 376.392	7 328.118	7 270.056
Avg no of shares, diluted, excl. treasury stocks (m)	8 033.250	7 837.750	7 771.583	7 752.000	7 681.500	7 607.750	7 540.500	7 472.250	7 458.500	7 465.000	7 451.720	7 411.131	7 365.971	7 311.747
EPS reported, Gaap	*2.57*	*3.25*	*2.12*	*5.06*	*5.76*	*8.06*	*9.64*	*9.68*	*11.82*	*13.64*	*17.43*	*19.74*	*23.70*	*28.78*
EPS company definition	*2.57*	*3.25*	*2.12*	*5.06*	*5.76*	*8.06*	*9.64*	*9.68*	*11.82*	*13.64*	*17.43*	*19.74*	*23.70*	*28.78*
EPS restated, fully diluted	2.78	3.33	4.09	5.19	5.87	8.17	9.31	10.02	12.25	14.58	17.22	19.99	23.88	28.93
% change	*20.2%*	*19.7%*	*22.8%*	*26.8%*	*13.1%*	*39.1%*	*14.0%*	*7.6%*	*22.2%*	*19.0%*	*18.1%*	*16.0%*	*19.5%*	*21.2%*
Book value (BVPS) (a)	9.1	11.3	10.7	13.4	15.6	18.9	22.3	27.7	36.1	46.2	59.1	74.6	93.7	117.3
Net dividend	1.43	1.55	1.68	1.84	2.04	2.24	2.48	2.72	3.00	3.32	3.67	4.14	4.66	5.27
STOCKMARKET RATIOS	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
P / E (P/ EPS restated)	18.1x	18.7x	21.0x	21.8x	26.8x	27.9x	31.9x	26.7x	30.9x	29.1x	24.3x	20.9x	17.5x	14.5x
P / E relative to MSCI USA	100%	95%	95%	116%	135%	88%	160%	130%	120%	123%	87%	92%	89%	82%
P / CF	12.4x	14.1x	28.5x	18.1x	19.5x	22.3x	25.3x	22.3x	24.2x	22.4x	17.0x	14.3x	11.1x	8.8x
FCF yield	6.2%	6.5%	4.9%	4.4%	3.8%	3.3%	2.9%	3.0%	2.6%	2.3%	2.1%	0.7%	2.1%	3.3%
P / BVPS	5.55x	5.50x	8.01x	8.45x	10.09x	12.07x	13.33x	9.66x	10.47x	9.17x	7.08x	5.61x	4.47x	3.57x
Net yield	2.8%	2.5%	2.0%	1.6%	1.3%	1.0%	0.8%	1.0%	0.8%	0.8%	0.9%	1.0%	1.1%	1.3%
Payout	51.2%	46.6%	40.9%	35.4%	34.7%	27.4%	26.6%	27.1%	24.5%	22.8%	21.3%	20.7%	19.5%	18.2%
EV / Sales	3.74x	4.52x	5.48x	6.40x	7.87x	9.79x	10.95x	9.11x	11.37x	11.01x	9.18x	7.76x	6.38x	5.22x
EV / Restated EBITDA	10.2x	11.7x	13.5x	14.9x	17.3x	20.3x	22.3x	18.7x	21.3x	19.2x	15.8x	12.8x	9.9x	7.8x
EV / Restated EBITA	12.2x	14.4x	16.5x	18.2x	20.9x	23.2x	25.6x	21.0x	24.6x	23.3x	19.2x	16.5x	13.7x	11.2x
EV / NOPAT	15.2x	16.9x	19.7x	20.3x	25.0x	26.9x	29.4x	26.0x	30.1x	28.2x	23.8x	20.4x	16.9x	13.8x
EV / OpFCF	11.8x	12.9x	15.8x	17.3x	19.5x	23.6x	26.8x	23.7x	29.8x	33.3x	31.7x	53.9x	28.0x	19.8x
EV / Capital employed (incl. gross goodwill)	14.5x	6.6x	8.8x	9.3x	12.1x	14.1x	13.5x	10.1x	9.1x	8.4x	6.8x	5.3x	4.4x	3.6x
ENTERPRISE VALUE (USDm)	**341,314**	**436,286**	**604,282**	**804,845**	**1,124,872**	**1,645,911**	**2,171,595**	**1,931,332**	**2,786,340**	**3,100,557**	**3,030,494**	**3,020,804**	**2,981,697**	**2,922,923**
Market cap	400,867	483,073	661,810	866,486	1,198,072	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,104,483	3,087,536	3,067,330	3,043,027
+ Adjusted net debt	(59,553)	(46,787)	(57,528)	(61,641)	(73,200)	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(73,989)	(66,733)	(85,633)	(120,104)
+ Other liabilities and commitments														
+ Revalued minority interests														
- Revalued investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0
P & L HIGHLIGHTS (USDm)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
Sales	**91,154**	**96,571**	**110,360**	**125,843**	**143,015**	**168,088**	**198,270**	**211,915**	**245,122**	**281,724**	**330,172**	**389,034**	**467,305**	**559,874**
Restated EBITDA (b)	**33,572**	**37,439**	**44,619**	**53,888**	**65,145**	**81,012**	**97,336**	**103,155**	**130,717**	**161,410**	**191,594**	**236,849**	**300,963**	**374,751**
Depreciation	(5,644)	(7,078)	(8,061)	(9,782)	(11,196)	(10,086)	(12,460)	(11,361)	(17,487)	(28,153)	(33,625)	(53,757)	(83,135)	(113,985)
Restated EBITA (b)	**27,928**	**30,361**	**36,558**	**44,106**	**53,949**	**70,926**	**84,876**	**91,794**	**113,230**	**133,257**	**157,969**	**183,092**	**217,828**	**260,766**
Reported operating profit (loss)	26,078	29,025	35,058	42,959	52,959	69,916	83,383	88,523	109,433	128,528	154,124	180,801	216,203	259,341
Net financial income (charges)	0	0	(983)	81	45	(46)	(128)	528	(1,528)	(4,552)	5,768	(231)	(681)	421
Affiliates														
Other	0	0	2,399	648	32	1,232	461	260	(118)	(349)	1,419	0	0	0
Tax	(5,100)	(4,412)	(19,903)	(4,448)	(8,755)	(9,831)	(10,978)	(16,950)	(19,651)	(21,795)	(31,395)	(34,308)	(40,949)	(49,355)
Minorities														
Net attributable profit reported	20,978	24,613	16,571	39,240	44,281	61,271	72,738	72,361	88,136	101,832	129,916	146,262	174,572	210,408
Net attributable profit restated (c)	**22,361**	**26,117**	**31,812**	**40,231**	**45,107**	**62,142**	**70,212**	**74,869**	**91,336**	**108,818**	**128,336**	**148,118**	**175,889**	**211,562**
CASH FLOW HIGHLIGHTS (USDm)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
EBITDA (reported)	**33,810**	**38,109**	**45,319**	**54,641**	**65,755**	**81,602**	**97,843**	**103,707**	**131,720**	**162,681**	**192,631**	**237,467**	**301,402**	**375,136**
EBITDA adjustment (b)	**(238)**	**(670)**	**(700)**	**(753)**	**(610)**	**(590)**	**(507)**	**(552)**	**(1,003)**	**(1,271)**	**(1,038)**	**(619)**	**(439)**	**(385)**
Other items	3,043	(408)	(15,183)	2,755	9,424	10,279	7,222	8,889	5,436	1,635	22,617	15,074	17,779	21,107
Change in WCR	610	4,876	20,467	3,866	(1,483)	(936)	446	(2,388)	1,824	(5,350)	(5,648)	(1,355)	(3,398)	(7,206)
Operating cash flow	**37,225**	**41,907**	**49,903**	**60,509**	**73,086**	**90,355**	**105,004**	**109,656**	**137,977**	**157,695**	**208,563**	**250,568**	**315,344**	**388,652**
Capex	(8,343)	(8,129)	(11,632)	(13,925)	(15,441)	(20,622)	(23,886)	(28,107)	(44,477)	(64,551)	(112,832)	(194,517)	(208,849)	(240,746)
Operating free cash flow (OpFCF)	**28,882**	**33,778**	**38,271**	**46,584**	**57,645**	**69,733**	**81,118**	**81,549**	**93,500**	**93,144**	**95,731**	**56,052**	**106,495**	**147,906**
Net financial items + tax paid	(3,900)	(2,400)	(6,019)	(8,324)	(12,411)	(13,615)	(15,969)	(22,074)	(19,429)	(21,533)	(31,127)	(34,539)	(41,631)	(48,933)
Free cash flow	**24,982**	**31,378**	**32,252**	**38,260**	**45,234**	**56,118**	**65,149**	**59,475**	**74,071**	**71,611**	**64,604**	**21,513**	**64,865**	**98,973**
Net financial investments & acquisitions	(15,810)	(38,455)	5,669	(1,848)	4,459	(6,033)	(3,600)	8,543	(51,195)	(10,365)	4,922	20,000	10,000	0
Other	15,454	11,800	(4,958)	(707)	(2,855)	(10,842)	(31,631)	(20,029)	(28,734)	4,761	0	0	0	0
Capital increase (decrease)	(15,301)	(11,016)	(9,719)	(18,401)	(21,625)	(25,692)	(30,855)	(20,379)	(15,252)	(16,364)	(20,303)	(18,200)	(21,700)	(26,100)
Dividends paid	(11,006)	(11,845)	(12,699)	(13,811)	(15,137)	(16,521)	(18,135)	(19,800)	(21,771)	(24,082)	(26,648)	(30,569)	(34,264)	(38,402)
Increase (decrease) in net financial debt	**1,681**	**18,138**	**(10,545)**	**(3,493)**	**(10,076)**	**2,970**	**19,072**	**(7,810)**	**42,881**	**(25,561)**	**(22,575)**	**7,257**	**(18,901)**	**(34,470)**
Cash flow, group share	**32,715**	**34,631**	**23,417**	**48,319**	**62,158**	**77,676**	**88,589**	**89,970**	**116,724**	**141,512**	**183,084**	**217,384**	**277,112**	**346,925**
BALANCE SHEET HIGHLIGHTS (USDm)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
Net operating assets	39,961	75,517	79,882	93,632	103,293	128,314	166,368	187,239	301,369	371,902	441,305	559,156	672,805	797,757
WCR	(16,391)	(9,833)	(11,154)	(7,448)	(10,035)	(11,438)	(5,509)	4,694	4,307	(1,088)	4,560	5,914	9,312	16,519
Restated capital employed, incl. gross goodwill	**23,570**	**65,684**	**68,728**	**86,184**	**93,258**	**116,876**	**160,859**	**191,933**	**305,676**	**370,814**	**445,864**	**565,070**	**682,118**	**814,275**
Shareholders' funds, group share	71,997	87,711	82,718	102,330	118,304	141,988	166,542	206,223	268,477	343,479	438,382	550,331	686,279	852,907
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Provisions/ Other liabilities	21,557	25,411	39,832	41,956	43,448	43,431	44,695	46,886	60,215	76,717	97,718	97,718	97,718	97,718
Net financial debt (cash)	(59,553)	(41,415)	(51,960)	(55,453)	(65,529)	(62,559)	(43,487)	(51,297)	(8,416)	(33,977)	(56,552)	(49,296)	(68,196)	(102,667)
FINANCIAL RATIOS (%)	**Jun. 16**	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26e**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**
Sales (% change)	(2.6%)	5.9%	14.3%	14.0%	13.6%	17.5%	18.0%	6.9%	15.7%	14.9%	17.2%	17.8%	20.1%	19.8%
Organic sales growth														
Restated EBITA (% change)	(2.6%)	8.7%	20.4%	20.6%	22.3%	31.5%	19.7%	8.2%	23.4%	17.7%	18.5%	15.9%	19.0%	19.7%
Restated attributable net profit (% change)	16.9%	16.8%	21.8%	26.5%	12.1%	37.8%	13.0%	6.6%	22.0%	19.1%	17.9%	15.4%	18.7%	20.3%
Personnel costs / Sales	22.3%	21.0%	20.1%	18.4%	17.3%	15.0%	14.0%	14.3%	13.1%	11.7%	10.6%	9.2%	8.2%	7.4%
Restated EBITDA margin	36.8%	38.8%	40.4%	42.8%	45.6%	48.2%	49.1%	48.7%	53.3%	57.3%	58.0%	60.9%	64.4%	66.9%
Restated EBITA margin	30.6%	31.4%	33.1%	35.0%	37.7%	42.2%	42.8%	43.3%	46.2%	47.3%	47.8%	47.1%	46.6%	46.6%
Tax rate	19.6%	15.2%	54.6%	10.2%	16.5%	13.8%	13.1%	19.0%	18.2%	17.6%	19.5%	19.0%	19.0%	19.0%
Net margin	24.5%	27.0%	28.8%	32.0%	31.5%	37.0%	35.4%	35.3%	37.3%	38.6%	38.9%	38.1%	37.6%	37.8%
Capex / Sales	9.2%	8.4%	10.5%	11.1%	10.8%	12.3%	12.0%	13.3%	18.1%	22.9%	34.2%	50.0%	44.7%	43.0%
OpFCF / Sales	31.7%	35.0%	34.7%	37.0%	40.3%	41.5%	40.9%	38.5%	38.1%	33.1%	29.0%	14.4%	22.8%	26.4%
WCR / Sales	(18.0%)	(10.2%)	(10.1%)	(5.9%)	(7.0%)	(6.8%)	(2.8%)	2.2%	1.8%	(0.4%)	1.4%	1.5%	2.0%	3.0%
Capital employed (excl. gdw./intangibles) / Sales	2.2%	21.2%	22.6%	28.9%	30.0%	35.3%	41.4%	54.1%	64.8%	81.2%	93.5%	110.7%	117.7%	122.1%
ROE	31.1%	29.8%	38.5%	39.3%	38.1%	43.8%	42.2%	36.3%	34.0%	31.7%	29.3%	26.9%	25.6%	24.8%
Gearing	(83%)	(53%)	(70%)	(60%)	(62%)	(51%)	(33%)	(31%)	(9%)	(15%)	(17%)	(12%)	(12%)	(14%)
EBITDA / Financial charges	NC	NC	86.0x	NC	NC	NS	NC	NC	NC	NC	NC	NS	NS	NC
Adjusted financial debt / EBITDA	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC
ROCE, excl. gdw./intangibles	NS	125.9%	122.9%	108.8%	105.1%	103.0%	89.9%	64.9%	58.3%	48.0%	41.2%	34.4%	32.1%	30.9%
ROCE, incl. gross goodwill	95.3%	39.2%	44.7%	46.0%	48.3%	52.3%	45.8%	38.7%	30.3%	29.6%	28.5%	26.2%	25.9%	25.9%
WACC	5.8%	5.4%	5.5%	5.9%	5.9%	5.4%	5.5%	6.8%	6.8%	6.5%	6.3%	6.3%	6.3%	6.3%

Latest Model update: 30 Apr. 26

(a) Intangibles: USD142,113.00m, or USD19 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A

(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested